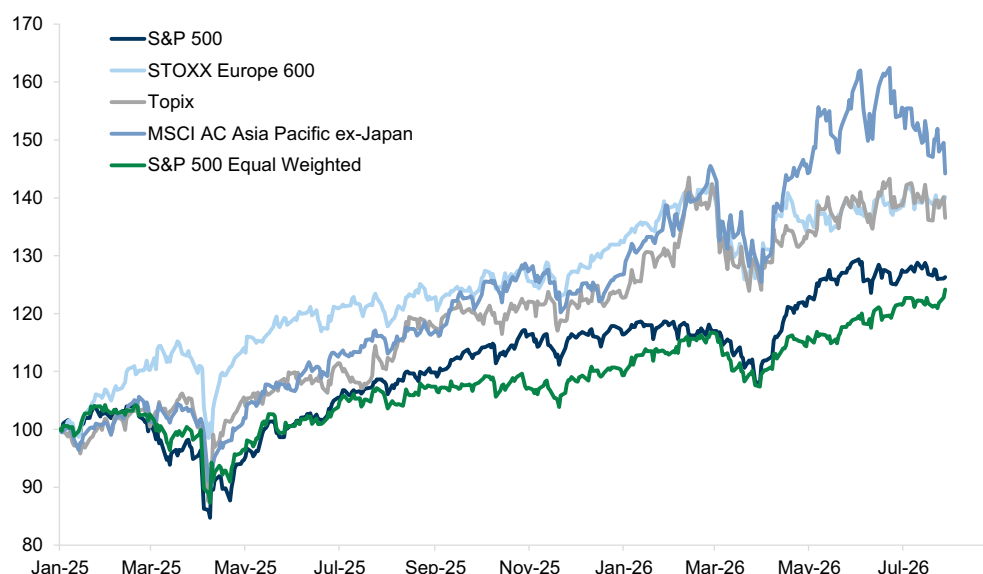


GLOBAL STRATEGY VIEWS

Momentum, rotation and the value in growth

1. In early 2025 we argued that a series of dynamics would broaden out the returns available for investors, increasing the rewards to diversification. In the fifteen years that followed the financial crisis, equity markets were very bifurcated. The US equity market dominated regionally, Technology consistently outperformed sectorally, and Growth persistently outpaced Value. **Since 2025, and again through this year, the opportunity set has shifted. Equities have performed well, but the geographical spread has widened (Exhibit 1). The US has been the weakest of the major regions.**

Exhibit 1: Geographical returns have broadened, with the US lagging other major regions
World equity indices (USD), indexed price performance



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

2. While the strongest returns (in local currency) have been in Japan, Asia Pacific and EM, the bulk of the returns across regions over the past year have been driven by strong earnings growth (Exhibit 2). Asia, EM and the US have all de-rated, while Japan and Europe have seen modest increases in their valuations. This is an important change from previous periods when much of the return across equities was driven by rising valuations and the support of lower interest rates. **More government debt, increased issuance, and persistent inflation have all contributed to a higher cost of capital, leaving earnings as the key driver of**

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Peter Oppenheimer
+44(20)7552-5782 |
peter.oppenheimer@gs.com
Goldman Sachs International

Sharon Bell
+44(20)7552-1341 |
sharon.bell@gs.com
Goldman Sachs International

Guillaume Jaisson
+44(20)7552-3000 |
guillaume.jaisson@gs.com
Goldman Sachs International

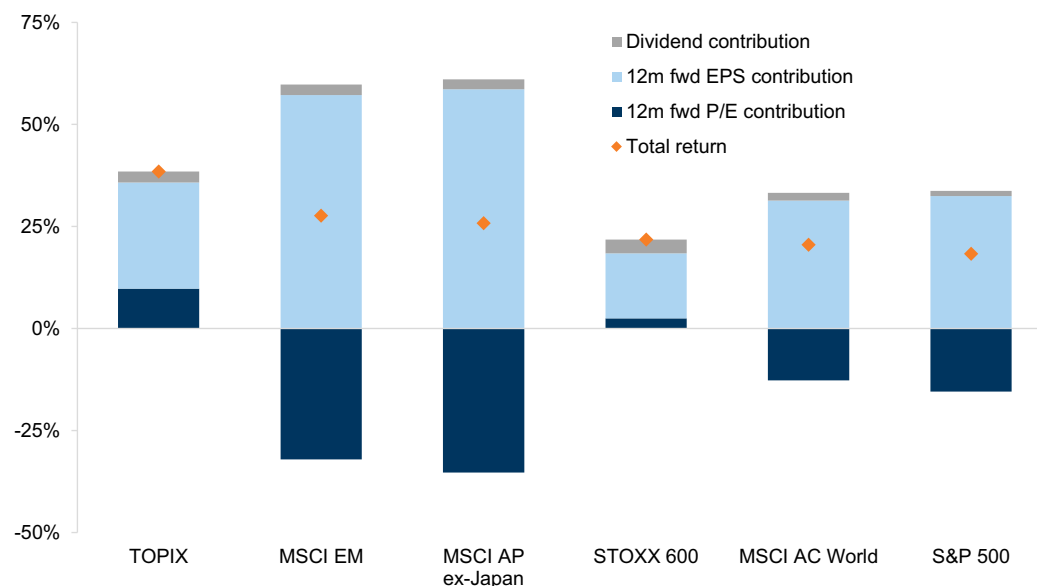
Elena Porfidia
+44(20)7051-5240 |
elena.porfidia@gs.com
Goldman Sachs International

Jacinta Feng
+44(20)7051-8740 |
jacinta.feng@gs.com
Goldman Sachs International

returns. We think this trend will continue.

Exhibit 2: Earnings growth has been the main driver of returns across regions

12m trailing return contribution in local currency

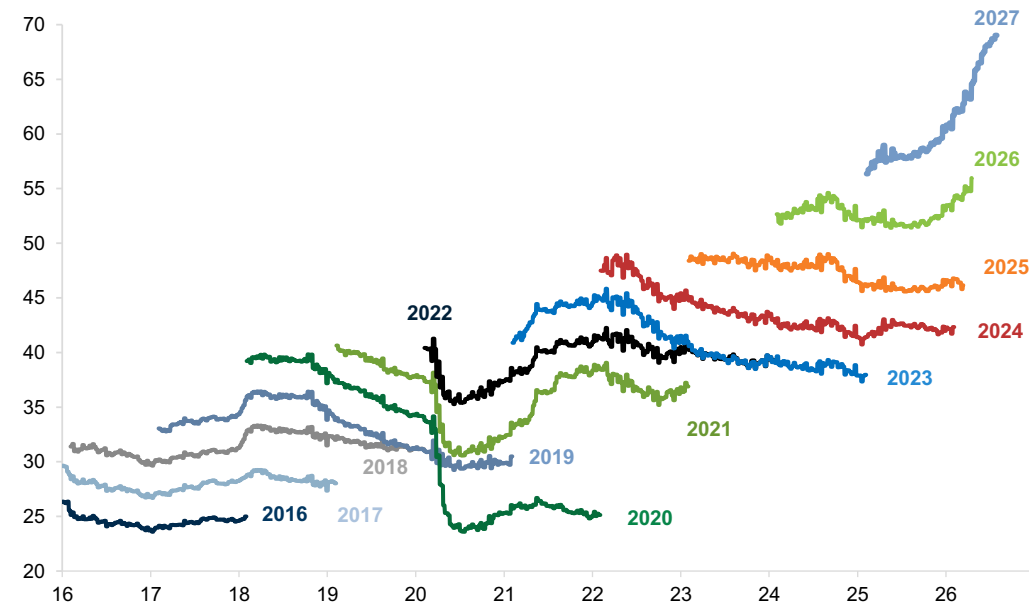


Source: Factset, Datastream, STOXX, Goldman Sachs Global Investment Research

Rather, unusually, not only have earnings been strong but revisions have been rising (Exhibit 3), again justifying the fundamental support for equity markets.

Exhibit 3: Earnings have been strong and revisions have continued to rise

MSCI AC World EPS consensus estimates (USD)



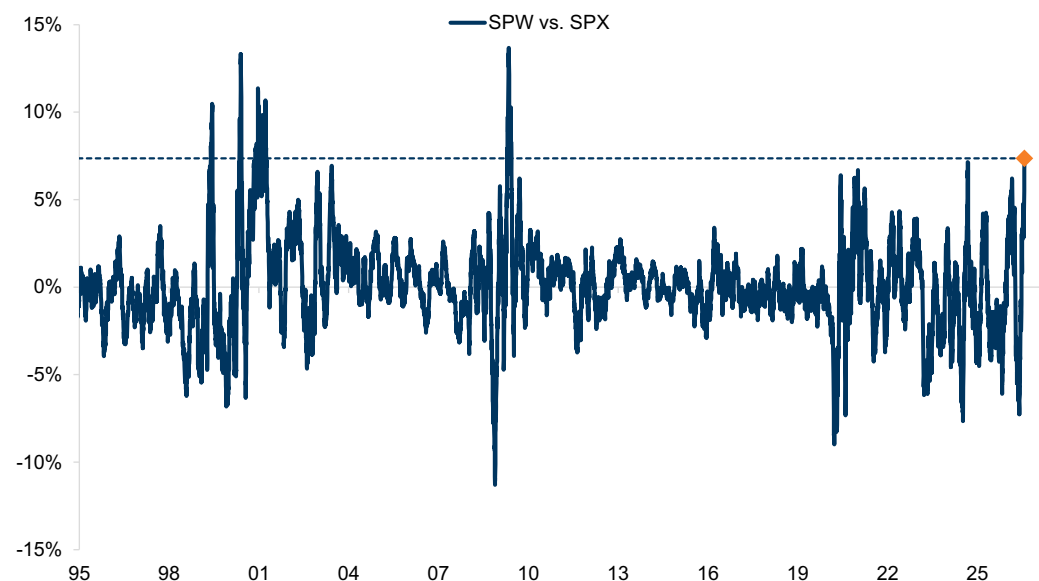
Source: FactSet, Datastream, STOXX, Goldman Sachs Global Investment Research

3. But while geographic returns have broadened, so too have opportunities across sectors and factors. We have argued that concentrated markets create problems for active managers while increasing risk for investors. Up until recently, many equity

markets had been concentrated both in market capitalization (with a few companies dominating the market) and in contribution of returns (a small number of companies driving most of the index performance). Most equity markets are now broadening. For the first time since 2009, the equally weighted S&P, for example, has outperformed the S&P 500 by more than 7.3% ([Exhibit 4](#)).

Exhibit 4: Market participation has broadened beyond the largest stocks

2m rolling returns of S&P 500 Equal-Weighted vs. S&P 500 Cap-Weighted

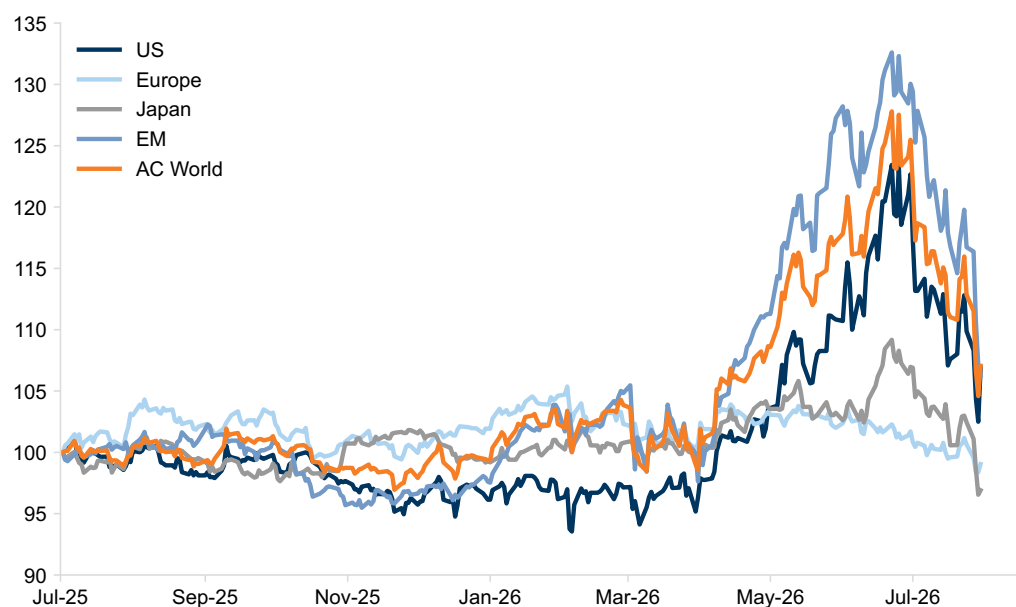


Source: Datastream, Goldman Sachs Global Investment Research

4. This has been supported by several factors. First, the resilience of the broader economies, particularly in the US and Europe, where the median stock has performed best. Second, the pick-up in M&A, which is attracting interest across the market, and away from the largest cap stocks. Small caps have outperformed large caps in the US. Third, the sharp momentum unwind of recent weeks has supported a widening of participation amid a rotation of leadership ([Exhibit 5](#)).

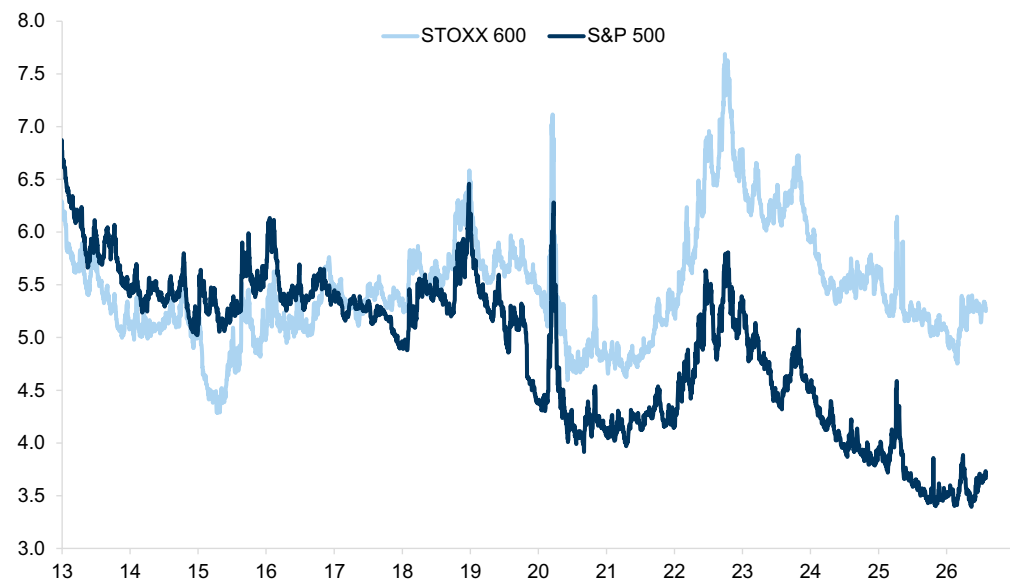
Exhibit 5: The momentum unwind has supported a rotation in market leadership

MSCI Momentum vs. Market, relative price returns (USD)



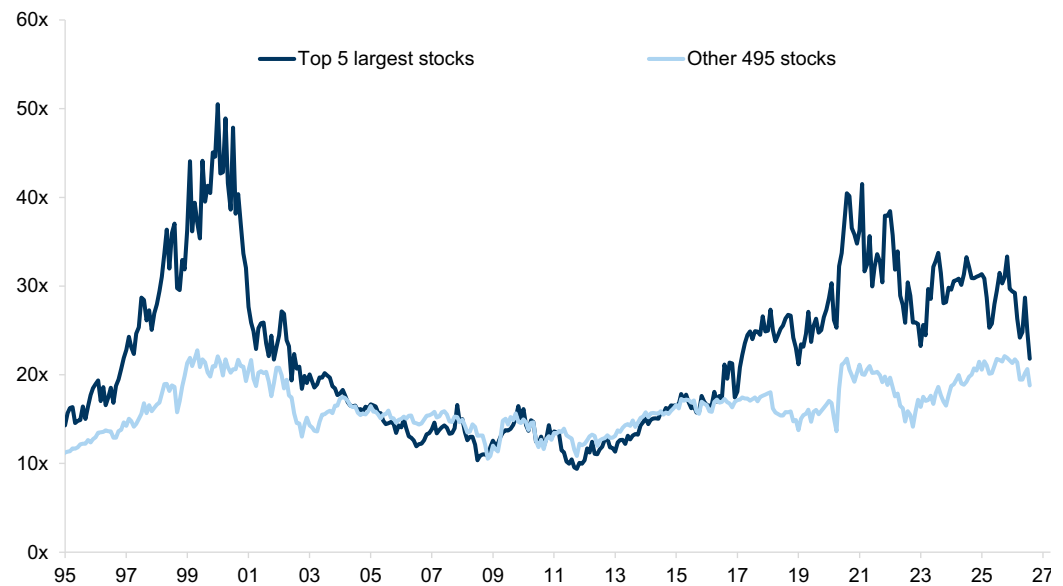
Source: Datastream, Goldman Sachs Global Investment Research

5. One of the other key reasons for these changes in market dynamics has been the dramatic rise in capex spending by the leading Tech companies. For a decade or so after the financial crisis, these companies became hugely profitable, benefiting from the surge in demand for Software and cloud computing while piggybacking off the capex that was installed in the dot.com era; they were capital light and enjoyed the valuation support driven by zero interest rates. In an era of weak nominal growth and excess capacity in many 'old economy' industries, the Technology sector's remarkable margin and ROE progression made it hugely attractive. With the introduction of ChatGPT, an explosion in capex among the hyperscalers has increasingly eroded their premium cash flows, forcing them to turn to debt and equity markets for funding. **The US equity market, dominated by the hyperscalers, has experienced a sharp decline in FCF yield relative to more value-oriented markets, such as Europe, helping to support the rotations of relative performance (Exhibit 6).**

Exhibit 6: US FCF yield has been weighed down by capex spending recently
Free-Cash-Flow Yield

Source: FactSet, Bloomberg, Goldman Sachs Global Investment Research

6. Driven by a growing anxiety about the returns that the capex might generate in the future, these dominant Tech companies have de-rated. As [Exhibit 7](#) shows, the biggest five stocks in the US now have a P/E ratio only marginally above the other 495 but had previously been on a premium consistently since 2017. It also marks a very big change from the dot.com era. Back then, valuations reached a much greater high, but they came down as stock prices collapsed. This time, prices have adjusted more modestly, but earnings have remained exceptionally strong.

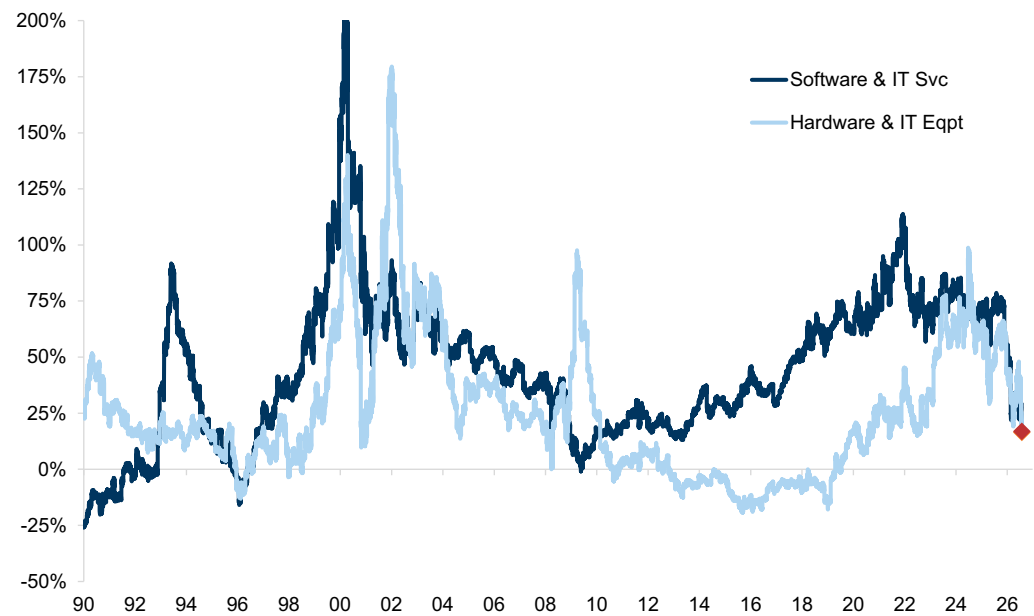
Exhibit 7: Premium for Top 5 stocks has almost disappeared
S&P 500 12m forward P/E multiple

Source: Datastream, Goldman Sachs Global Investment Research

The hyperscaler valuation convergence has been matched by a sharp de-rating in the relative valuation of Software stocks – among the biggest winners in the past Technology cycle – now at the epicenter of concerns about disruption. The sector's P/E premium globally has fallen to around 20%, a far cry from the near 200% at the start of this century. Performance leadership within the Tech space shifted from Software to Hardware, where the memory and chip stocks have seen explosive demand for compute, driving a surge in their earnings growth. Nonetheless, the cyclicity of these businesses – and the risk that their earnings are not sustainable – has driven them to de-rate too ([Exhibit 8](#)).

Exhibit 8: Software valuations have de-rated sharply from past extremes

Premium/(Discount) on 12m forward P/E vs. World ex. TMT. Global Sectors

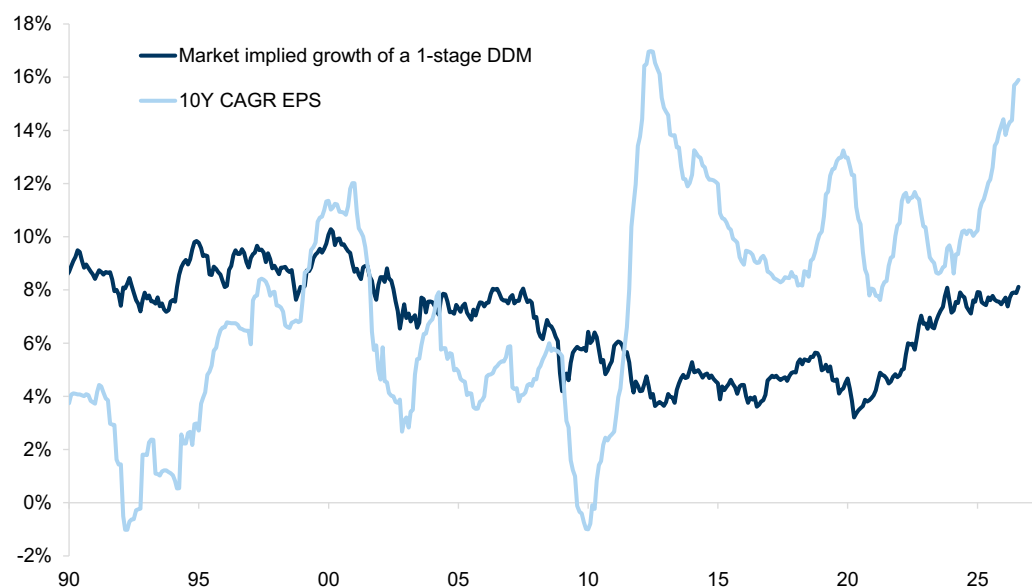


Source: Datastream, Goldman Sachs Global Investment Research

While valuations have moderated, particularly on a P/E basis, implied future growth has been rising. A simple proxy, using a one-stage DDM, illustrates the increase in expectations for the sector since 2020. Nonetheless, forward implied growth remains well below the levels reached at the peak of the dot.com era, while the 10-year CAGR of earnings growth has accelerated well beyond the 2000 peaks ([Exhibit 9](#)). **Across Technology, there does not appear to be a valuation bubble, but there may be an earnings bubble. Investors have reflected these concerns and there is Value that is emerging.**

Exhibit 9: Implied growth has risen, but remains below dot.com era peaks

US Technology sector: one-stage DDM implied growth (ERP fixed at 4.0%) and 10-year rolling EPS CAGR

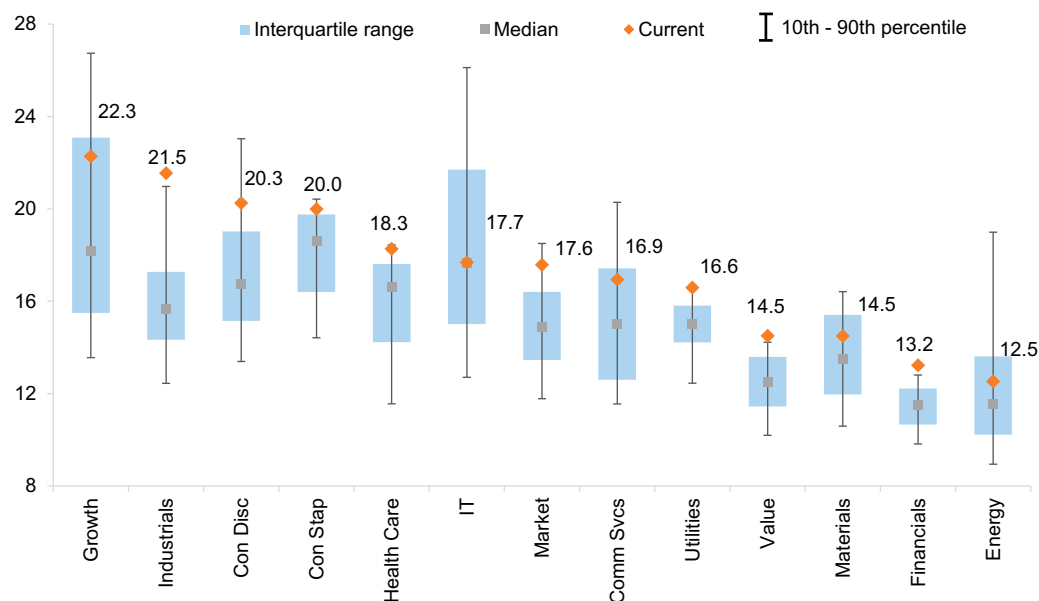


Source: Datastream, Goldman Sachs Global Investment Research

7. While Technology has de-rated, other parts of the market have seen a re-awakening of interest. The enormous scale-up in Tech capex by the hyperscalers and chip companies, coupled with increased government borrowing to fund improvements in Energy security, critical infrastructure and defense, has led to the start of a capex 'super cycle'. The spillover effects of this have boosted the growth prospects and valuation of many 'old economy' industries that had been neglected for so long by investors seeking long duration growth. Looking at current global valuations by sector re-levels this shift. In [Exhibit 10](#) the orange diamonds are current valuations, which are compared with the mean over 20 years and the ranges. **Industrials now have the highest sector valuation (which has risen to above its 20-year range), whereas Technology has de-rated from being the most expensive sector to now in line with its 20-year average.** Consumer staples, Discretionary and Healthcare are all now more highly valued than IT or communication services (at least on a P/E basis, though Tech is more highly valued on FCF multiples given the huge spending needs in the sector).

Exhibit 10: Industrials now trade at higher valuations than Technology

MSCI World sector/style valuations, 12-month forward P/Es relative to the last 20 years

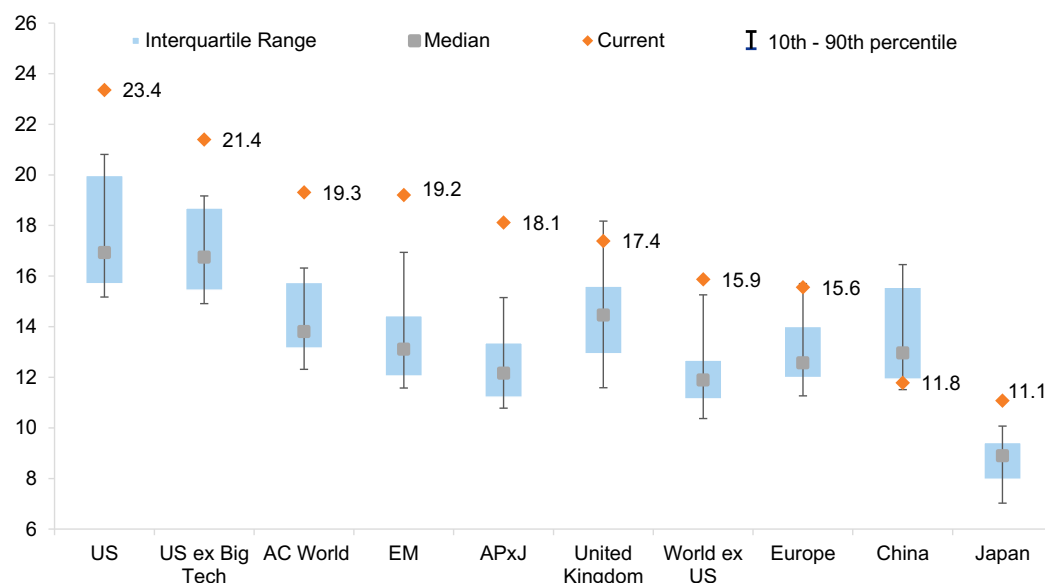


Source: Factset, Datastream, Goldman Sachs Global Investment Research

8. At the country level too, opportunities to broaden exposure have been increasing. The hit to the biggest stocks and the largest sector in the US (despite strong earnings) has led to a lower P/E ratio, despite the US remaining by far the most attractive from an ROE perspective. Only China, among the major markets, has an ROE below its historical average ([Exhibit 11](#)). It is enjoying a boom in exports and is a major competitor to the US in Technology but has much lower profitability and returns. This lower rating gives investors an opportunity to re-engage with the US equity market while being selectively diversified across regions.

Exhibit 11: ROE remains elevated across most regions except for China

12m fwd ROE Regional Valuation Range

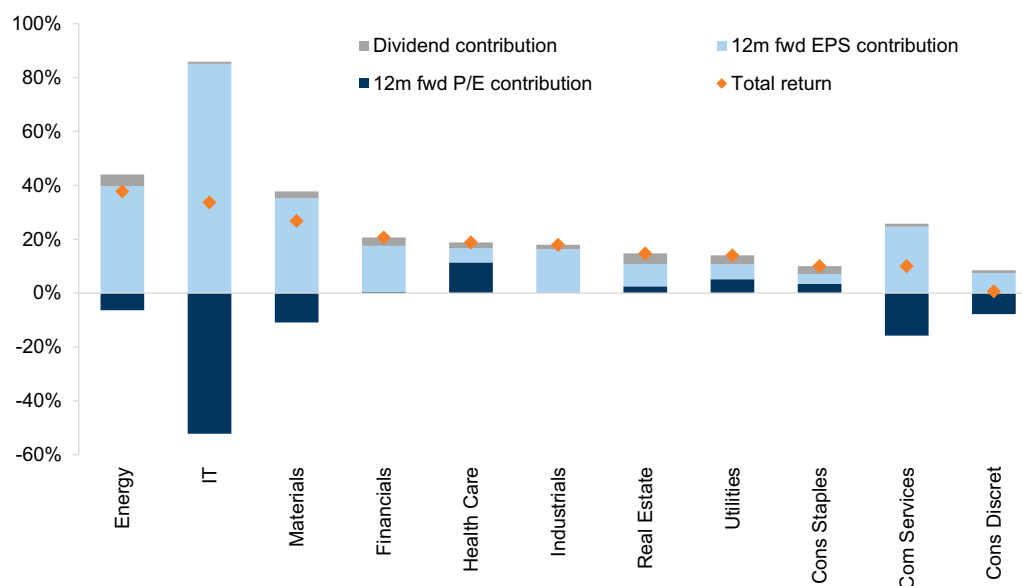


Source: Factset, Goldman Sachs Global Investment Research

9. The reversal in momentum, and the shifts in country and sector leadership are also being reflected in a rise in alpha opportunities across all major regions. This shift in leadership, accelerated by the recent momentum unwind, is leaving opportunities for investors to add alpha. For example, the IT sector has continued to enjoy the strongest earnings growth this year and has seen the biggest de-rating, whereas Energy has performed better but seen lower earnings growth ([Exhibit 12](#)). The opportunity to selectively find value in growth areas is rising.

Exhibit 12: Strong earnings growth has not prevented a de-rating in Technology

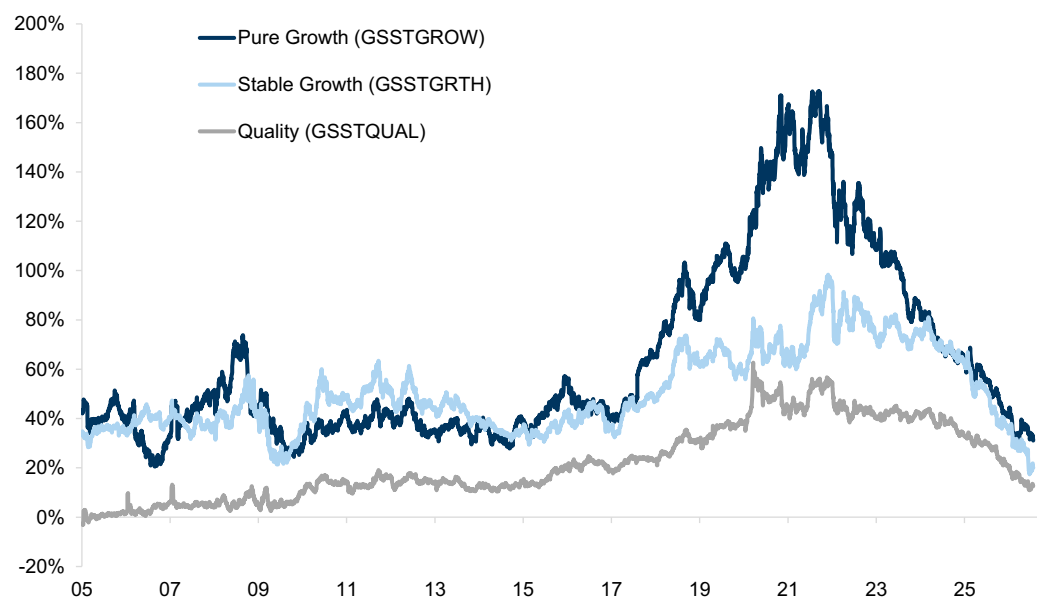
MSCI AC World 12m trailing return contribution by sector/style in USD



Source: Factset, STOXX, Goldman Sachs Global Investment Research

By contrast, Consumer staples and Consumer discretionary have seen the poorest returns. Growth and quality have lost much of their premium, while more value-oriented sectors and HALO stocks have outperformed. Exhibit 13, for Europe, illustrates a broader trend of the de-rating that has taken pace in pure growth (our basket GSSTGROW), as well as in low volatility growth (GSSTGRTH) and quality (low volatility, strong balance sheet companies – GSSTQUAL).

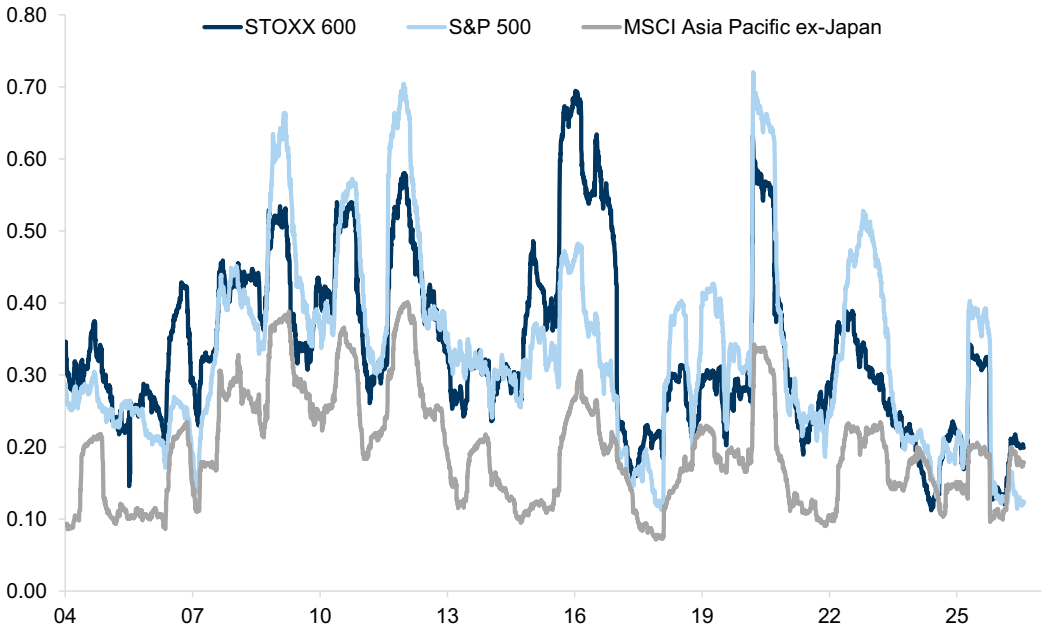
Exhibit 13: Quality and Growth areas have de-rated sharply
24m P/E discount vs. SXXP



Source: FactSet, Goldman Sachs Global Investment Research

10. Across the major markets, stock correlation (how much pairs of companies move together) has fallen (Exhibit 14). Not only is there a wider range of geographical, sector and factor opportunities, but even within sectors stocks are reflecting more idiosyncratic factors. While there are big moves among single stocks, these can often offset each other and volatility at the index level remains low even with the painful rotations in AI stocks and in momentum. This reflects a healthy departure from an asset class that exhibited record concentration of market capitalization as well as performance. We view this as a healthy normalization following years of very high concentration in both market capitalization and performance.

Exhibit 14: Pairwise correlation remains low
6m Average Pairwise Correlation



Source: Bloomberg, Goldman Sachs Global Investment Research

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Contributing Authors: Peter Oppenheimer Goldman Sachs International, Sharon Bell Goldman Sachs International, Guillaume Jaisson Goldman Sachs International, Elena Porfidia Goldman Sachs International, Jacinta Feng Goldman Sachs International.

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US Daily: FOMC Recap: No Hike and No Guidance

- The run-up to today's July FOMC meeting was unusually dramatic, with markets pricing the most uncertainty about whether or not the FOMC would hike in three decades. But the meeting ended with no change to the funds rate, no substantive changes to the statement, and no policy guidance or explanation of the FOMC's interpretation of the inflation situation during the press conference. Presidents Hammack, Kashkari, and Logan dissented in favor of a rate hike.
- Chairman Warsh made several dovish comments during his press conference. First, he appeared to downplay AI-related price pressures. Second, asked if the recent rise in interest rates was a signal that the market thought the Fed should hike, he connected it instead to the recent strength of the economy. Third, he hinted that the rise in market interest rates could substitute for a rate hike, though without saying so explicitly. Fourth, asked if the Fed needed to raise interest rates to lower inflation by reducing demand, he suggested that more credibly committing to the inflation target could help to lower inflation by lowering inflation expectations.
- The bond market also took today's meeting as dovish. Near-term interest rates were lower on the day despite an increase in energy prices, while long-term interest rates rose during the meeting, led by a rise in breakeven inflation compensation. The bond market is now pricing a 60% chance of a rate hike at the next FOMC meeting in September. We continue to expect that softer core inflation in coming months will keep the Fed on hold for the remainder of 2026.

David Mericle
+1(212)357-2619 |
david.mericle@gs.com
Goldman Sachs & Co. LLC

FOMC Recap: No Hike and No Guidance

The run-up to today's July FOMC meeting was unusually dramatic, with markets pricing a roughly 35% chance of a hike ahead of the meeting, signaling the most uncertainty about whether or not the FOMC would hike in three decades.

But the meeting was somewhat anticlimactic, ending with no change to the funds rate, no substantive changes to the post-meeting statement, and no policy guidance or even explanation of the FOMC's interpretation of the inflation situation during Chairman Warsh's press conference. Presidents Hammack, Kashkari, and Logan dissented in favor of a 25bp rate hike.

We had expected that most FOMC voters would not want to hike today because the June inflation data showed substantial improvement relative to prior months. Many voters have said that they want to see sustained improvement in the inflation data and are open to raising rates eventually if necessary. While Warsh downplayed the role of the June CPI report in today's decision, we suspect that was the thought process for most of the other eight voters who preferred to leave the funds rate unchanged today.

Warsh reiterated his view that it is better for him to say little about his monetary policy expectations or assessment of the economic data so that markets can reach their own verdict without being influenced by the opinions of Fed officials. Nevertheless, he made several comments during his press conference that we interpreted as dovish, consistent with his vote to leave the funds rate unchanged.

First, he appeared to downplay AI-related price pressures, though somewhat subtly. Referring to increases in memory and logic chip prices, he asked, "Do these changes indicate a broader inflationary dynamic or do we just focus on them because they are under the bright streetlight?" This seemed to suggest that Warsh sees AI price pressures as isolated from broader pricing trends.

Second, when asked if the rise in real interest rates was a signal that the market thought the Fed should hike, he connected it instead to the recent strength of the economy, saying, "economic output is solid. Capex and productivity are strong. Labor markets [are] solid, steady. ... The Treasury market seems to be saying that as well. ... And that's why we're seeing a tightening both in nominals and in reals."

Third, Warsh hinted a couple of times that the rise in market interest rates could substitute for a rate hike, though without ever saying it explicitly. Asked if rates shouldn't be higher today, Warsh responded that "rates *are* higher today" than they were at the June meeting. Asked why the Fed paused, he responded that market interest rates "didn't pause." And most clearly, he said that "while at some level we haven't done much in 42 days, the markets have done quite a bit."

Fourth, asked if the Fed needed to raise interest rates to lower inflation by reducing demand, he acknowledged that "interest rates could be part of that solution," but then suggested that more credibly committing to the inflation target could help to lower inflation by lowering inflation expectations. This contrasts with our reading of the evidence from economic research, which suggests that it is difficult for the Fed to influence inflation through the expectations channel because most businesses and consumers do not pay attention to central banks.

Warsh also clarified at today's meeting that he will do a press conference after each of the three remaining FOMC meetings in 2026.

The bond market also took today's meeting as dovish. Near-term interest rates were lower on the day despite an increase in energy prices, while long-term interest rates rose during the meeting, led by a rise in breakeven inflation compensation.

The bond market is now pricing a 60% chance of a rate hike at the next FOMC meeting in September. In contrast, we continue to expect that softer core inflation in coming months will keep the Fed on hold for the remainder of 2026.

David Mericle

The US Economics Team

Jan Hatzius

+1(212)902-0394
jan.hatzius@gs.com
Goldman Sachs & Co. LLC

Ronnie Walker

+1(917)343-4543
ronnie.walker@gs.com
Goldman Sachs & Co. LLC

Jessica Rindels

+1(972)368-1516
jessica.rindels@gs.com
Goldman Sachs & Co. LLC

David Mericle

+1(212)357-2619
david.mericle@gs.com
Goldman Sachs & Co. LLC

Elsie Peng

+1(212)357-3137
elsie.peng@gs.com
Goldman Sachs & Co. LLC

Alec Phillips

+1(202)637-3746
alec.phillips@gs.com
Goldman Sachs & Co. LLC

Pierfrancesco Mei

+1(212)902-8809
pierfrancesco.mei@gs.com
Goldman Sachs & Co. LLC

Disclosure Appendix

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Contributing Authors: David Mericle Goldman Sachs & Co. LLC.

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